BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

April 10, 2025

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Update Testimony of:

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

ACCOUNTING PANEL
UPDATE/CORRECTION TESTIMONY

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## I. PURPOSE OF TESTIMONY

Q. Please state your names.

A. Joseph Miller, Kelly McLaughlin-Martini, Wenqi Wang, and Anthony Barretta.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. We submitted testimony as the Accounting Panel ("Panel") as part of Consolidated Edison Company of New York, Inc.'s ("Con Edison" or the "Company") January 2025 filing.

Q. What is the purpose of the Panel's update ("Update") testimony?

A. First, this Update discusses the Company's corrections and updates to the revenue requirement for the twelve-months ending December 31, 2026 ("Rate Year"). Second, we present updated information for RY2 and RY3 (the twelve-month periods ending December 31, 2027 and December 31, 2028, respectively) to facilitate the development of a multi-year rate plan via settlement discussions.

Q. Are you sponsoring any exhibits for this Update?

A. Yes. The Panel sponsors updates to Exhibits AP-2, AP-3, AP-4 and AP-5 and submits new Exhibit AP-7, which is a collection of interrogatory responses referenced in this Update Testimony. All of these exhibits are marked "Update" and were prepared under our supervision and direction but rely on input from other Company witnesses.

## II. REVENUE REQUIREMENT UPDATE

Q. Is the Company proposing Rate Year revenue requirement changes with this Update?

A. Yes. The Company is decreasing the electric revenue requirement proposed in the initial filing by approximately $3.2 million. As a result, the Company is now seeking an overall electric revenue requirement increase of $1,608.4 million. The Company is also decreasing the gas revenue requirement proposed in the initial filing by approximately $91.5 million. As a result, the Company is now seeking an overall gas revenue requirement increase of $349.0 million. These changes are explained in detail below.

Moreover, as permitted by the Commission's longstanding *Statement of Policy on Test Periods in Major Rate Proceedings* (issued Nov. 23, 1977) ("*Policy on Test Periods*"), the Company intends to revise its revenue requirement for "known changes in cost rates" as late as the Company's initial brief on exceptions (*i.e.*, the Company would include this proposed revenue requirement as an appendix to that brief). The Company currently anticipates new information on its New York City and Westchester and Other property tax assessments and rates and updated pension and other post-employment benefit ("OPEB") costs due to new actuarial studies in addition to other potential adjustments. The Company is also monitoring the impact of unionization on janitorial and security guard costs and the evolution of federal tariffs.

Although the Company does not currently anticipate revisions for changes in estimate or wholesale revisions because of changed circumstances, it reserves the right to propose such revisions should they become necessary in accordance with the *Policy on Test Periods*.

## A. SUMMARY OF UPDATES TO THE REVENUE REQUIREMENT

Q. Is the Panel sponsoring an exhibit summarizing the changes to the revenue requirement since the Company's January 2025 filing?

A. Yes. Exhibit AP-3 shows the Company's updated electric revenue requirement increase to be $1,608.4 million and the updated gas revenue requirement increase to be $349.0 million.

Q. What does the Summary Schedule of the updated AP-3 exhibits show?

A. It shows that the Company's projected rate of return, with the revisions reflected in Schedule 2, page 2 and absent any change to the Company's existing revenue requirements, would be 3.91% for electric and 5.15% for gas.

Q. What are the major updates from the January 2025 filing?

A. The major items driving the changes in revenue requirements from the January 2025 filing to this Update include the following:

| | **Electric ($s in millions)** | **Gas ($s in millions)** |
|---|---|---|
| Sales Revenues | $30.6 | ($17.4) |
| O&M Expenses | ($34.8) | ($10.3) |

| | | | |
|---|---|---|---|
| Pensions & OPEBs | ($22.5) | ($6.7) |
| Property Taxes and Other | $26.7 | ($26.0) |
| Amort. of Deferred Costs | ($18) | ($8.7) |
| Other Operating Revenues | $0.2 | ($0.2) |
| Depreciation Expense | ($11) | ($7.0) |
| Cost of Capital | ($20.8) | ($8.7) |
| Rate Base - Carrying Charge | $46.4 | ($6.7) |
| **Total Update vs. Initial Filing** | **($3.2)** | **($91.5)** |

**1. Sales Revenue**

This Update produces electric and gas revenue requirements that are approximately $30.6 million higher for electric and $17.4 million lower for gas because the sales revenue forecast has decreased for electric and increased for gas, relative to the level included in the Company's January 2025 filing. Please see the Company's Electric and Gas Forecasting Panel Update Testimony for further detail.

**2. O&M**

Operation and maintenance ("O&M") expenses are approximately $34.8 million and $10.3 million lower than the level included in the Company's January 2025 filing for electric and gas, respectively. As described in the Update Testimony of the Customer Operations Panel, the Company has reduced its O&M costs by

approximately $15.4 million for two programs: arrears management program and contact center staffing and training programs. In the Update Testimony of the IT Panel, the Company explains that it has reduced its O&M costs by approximately $15.7 million for three programs: IT telecom, IT hardware and software, and Billing & Payment Enhancements. These costs are allocated across electric and gas with the common allocation factor. Additionally, the Company has normalized out one-time costs that were inadvertently included in Ops-Gas Operations O&M, contributing an additional $10.7 million decrease for gas.

**3. Pension & OPEBs**

Pension & OPEB costs are approximately $22.5 million and $6.7 million lower than the level included in the Company's January 2025 filing for electric and gas, respectively, which reflects the impact of the Company's latest actuarial study.

**4. Property Taxes and Other**

This Update produces an electric revenue requirement that is higher by $2.7 million and a gas revenue requirement that is lower by $25.6 million due to updated property tax forecasts. The changes to the forecasts are discussed in Company Witness Merritt's Property Tax Update Testimony. The Company has also added its forecast of receipts taxes for electric and gas of $26.4 million and $1.0 million, respectively, and updated payroll, revenue and other taxes.

**5. Amortization of Deferred Cost**

Various changes to deferrals are decreasing the electric revenue requirement by $18.0 million. The major changes are decreases to the amortizations of Carrying Charges of Net Plant ($8.1 million), Emergency Low Income Credit ($7.7 million), and Interference ($5 million). These decreases are partially offset by an increase to the amortization of Sales and Use Tax Refund of $1.9 million. Various changes to deferrals are decreasing the gas revenue requirement by $8.7 million. The major changes are decreases to the amortizations of Carrying Charges of Net Plant ($2.8 million), Gas Service Line ($3.8 million), and Interference ($1.8 million).

**6. Other Operating Revenues**

This Update produces other operating revenues that are approximately $0.2 million higher for electric and $0.2 million lower for gas than the level included in the Company's January 2025 filing.

**7. Depreciation**

The Company's electric and gas depreciation expense forecasts were updated to reflect actual capital expenditures closing to the plant as of December 31, 2024, as well as updates to the Company's plant forecast and projected in-service dates. These updates decrease the electric and gas revenue requirement by $11.0 million and $7 million, respectively.

**8. Cost of Capital**

As discussed in his direct testimony, Company witness Nowak determined that an appropriate return on equity ("ROE") proposal for the Company is within a range of 10.00 and 11.00 percent and recommended that the Commission authorize a 10.50 percent ROE. The Company has decreased its proposed ROE to 10.00 percent, the bottom of its expert's reasonable range, in order to facilitate the resolution of the issues in these proceedings. This Update produces electric and gas revenue requirements that are approximately $20.8 million and $8.7 million lower for electric and gas, respectively, than the level included in the Company's January 2025 filing.

**9. Rate Base – Carrying Charge and Other**

The carrying charge on rate base increased by $42.1 million for electric and decreased by $6.8 million for gas relative to the level included in the Company's January 2025 filing. Other miscellaneous changes increased electric revenue requirement by $4.3 million and gas revenue requirement by $0.1 million. The primary drivers of higher electric rate base are increases in accumulated deferred tax assets, net plant, and non-interest-bearing construction work in progress ("CWIP"), partially offset by a decrease in net regulatory deferrals. The primary drivers of lower gas rate base are decreases in working capital and net regulatory deferrals, partially offset by increases in net plant, non-interest-bearing CWIP, and accumulated deferred income taxes

## B. COMPANY UPDATES TO REVENUE REQUIREMENT

Q. Has the Panel prepared an update of the AP-2 and AP-3 exhibits showing the updated Rate Year rate base and revenue requirements?

A. Yes. The purpose of the updated AP-2 and AP-3 exhibits is to show the development of rate base and the revenue requirements since the Company's January 2025 filing. These exhibits consist of the following schedules (note that certain schedule numbers are not used in this filing in order to maintain naming convention consistency with the January 2025 filing):

**AP-2 Schedules**

- Schedule 1 compares rate base in the Company's January 2025 filing to this Update.
- Schedule 2 compares average net plant in the Company's January 2025 filing to this Update.
- Schedule 3 compares working capital in the Company's January 2025 filing to this Update.
- Schedule 4 compares regulatory deferrals net of federal income tax ("FIT") in the Company's January 2025 filing to this Update.
- Schedule 5 compares accumulated deferred tax in the Company's January 2025 filing to this Update.

**AP-3 Schedules**

- Schedule 2, Page 1 compares the revenue requirement in the Company's January 2025 filing to this Update.
- Schedule 2, Page 2 summarizes the Company's revised revenue requirement calculations.
- Schedule 3 updates sales revenues.
- Schedule 4 updates regulatory deferrals and amortizations.
- Schedule 5 updates other operating revenues.
- Schedule 6 updates O&M expenses.
- Schedule 7.1 updates depreciation expenses at current rates.
- Schedule 7.2 updates depreciation expenses at proposed rates.
- Schedule 8 updates taxes other than income taxes.
- Schedules 9 and 10 update state and federal income taxes, respectively.
- Schedule 11 updates the interest deduction.
- Schedule 14 updates general inflation factors.
- Schedule 16 provides a listing of all changes made within the exhibit.

**1. Rate Base Adjustments and Updates (AP-E2/G2)**

Q. Please describe the adjustments to Rate Base as shown within the updated AP-2 Exhibits and incorporated into the AP-3 Schedule 2 Exhibits.

A. The Company's RY1 electric rate base increased by approximately $500.0 million from the January 2025 filing to this Update. The Company's RY1 gas rate base decreased by approximately $80.1 million from the January 2025 filing to this

Update. Components of those changes include the following (note that line references correlate to electric exhibit AP-E2 Schedule 1; gas has similar line items within exhibit AP-G2 Schedule 1).

**Line 2 – Electric/Gas Plant in Service:** The Electric/Gas Plant in Service forecast was updated to reflect actual capital expenditures closing to plant between the end of the historic test year (*i.e.,* September 30, 2024) and December 31, 2024, as well as updates to the Company's plant forecast and projected in-service dates.

**Line 4 Electric/ Line 3 Gas: – Common Utility Plant Electric/Gas Allocation:** The Common Utility Plant forecast was updated to reflect actual capital expenditures closing to plant between the end of the historic test year (*i.e.,* September 30, 2024) and December 31, 2024, as well as updates to the Company's common plant forecast and projected in-service dates.

**Lines 7 and 8 Electric / Lines 6 and 7 Gas: – Accumulated Reserve for Depreciation:** The Accumulated Reserve for Depreciation forecast was updated to reflect actual capital expenditures closing to plant between the end of the historic test year (*i.e.,* September 30, 2024) and December 31, 2024, as well as updates to the Company's plant forecast and projected in-service date.

**Line 11 Electric / Line 10 Gas: – Non-Interest Bearing CWIP:** Non-interest bearing CWIP was updated to reflect actual capital expenditures closing to plant between the end of the historic test year (*i.e.,* September 30, 2024) and December

31, 2024, as well as updates to the Company's plant forecast and projected in-service date.

**Line 12 Electric / Line 11 Gas: - Working Capital – Materials/Supplies, Prepayment and Cash Working Capital:** The working capital calculation has been updated to reflect the latest working capital forecasts, including General Escalation Rate, and the latest projected level of O&M expenses.

**Line 16 Electric / Line 15 Gas – Net Deferrals / Credits from Reconciliation Mechanisms:** Regulatory deferrals were updated to reflect actual balances as of December 2024 and the Company's latest forecast of net regulatory deferral balances.

**Lines 18 and 19 Electric / Lines 17 and 18 Gas – Accumulated Deferred State and Federal Income Taxes:** Deferred taxes were updated to reflect actual balances as of December 2024 and the latest changes in forecasted plant balances. Please also refer to the Income Tax Panel's Update.

**Line 22 Electric / Line 21 Gas - Earning Base Capitalization Adjustment to Rate Base:** This is to reflect the update in the Company's pension/OPEB forecast.

**2. Depreciation Adjustments and Updates (AP-E3/G3 Schedule 7.2 & 7.1):**

Q. Please describe the adjustments to Depreciation as shown within the updated AP-3 Schedule 7.2 Exhibits.

A. The electric depreciation adjustment reflects the Company's plant in service update. The gas depreciation adjustments reflect the Company's plant in service update ($5M) and a $1.8M adjustment to properly break out the leak-prone pipe amortization, for a total decrease of $6.8M in depreciation expense.

Q. Please describe the adjustments to Depreciation as shown within the updated AP-3 Schedule 7.1 Exhibits.

A. The electric and gas depreciation adjustments reflect the Company's plant in service update.

**3. Sales Revenue Updates (AP-E3/G3 Schedule 3)**

Q. Please describe the adjustments to Sales Revenue as shown within the updated AP-3 Schedule 3 Exhibits.

A. As detailed in the Update Testimonies of the Company's Electric and Gas Forecasting Panels, the Company updated its sales revenue forecasts to account for more recent actual information and updated projections of economic variables.

**4. Regulatory Deferrals and Amortizations Adjustments and Updates (AP-E3/G3 Schedule 4)**

Q. Please describe the Company's adjustments to Regulatory Deferrals and Amortizations as detailed on Schedule 4 of the updated AP-3 exhibits.

A. In the January 2025 filing, the Company projected its deferred balances and related amortizations starting with actual balances at the end of the historic year (*i.e.*, the twelve months ended September 30, 2024). The amortization of

regulatory deferrals in this Update reflects the impact of updating the actual deferred balances at December 31, 2024 and updates to projected activity over the remainder of the linking period (*i.e.*, through December 31, 2025). In addition, the Company notes the following updates:

**Line 2 Electric / Gas Carrying Charges (Net Plant Reconciliation):** The Net Plant Reconciliations were updated to reflect the latest capital balances and forecasted spending in relation to current rate case balances.

**Line 11 Electric / Line 10 Gas, Interference:** The interference deferrals were updated to reflect the latest spending projections.

**Line 17 Electric / Gas, Sales and Use Tax Refund:** The Company corrected its sales and use tax refund amount to reflect the Company's costs to achieve the refund.

**Line 20 Gas, Gas Service Line:** This item reflects a correction that increases the balance owed to customers.

**Line 23 Electric, Emergency Low Income Credit:** This item reflects a correction that increases the balance owed to customers.

### 5. Other Operating Revenues Adjustments and Updates (AP-E3/G3 Schedule 5)

Q. Please continue by explaining the adjustments and updates to Other Operating Revenues on Schedule 5 of the updated AP-3 exhibits.

A. Please refer to Schedule 5 of the updated AP-3 exhibits for a reflection of the below changes and Schedule 16 of the updated AP-3 exhibits for a listing of the changes reflected by the Company.

**Line 10 Electric / Line 5 Gas - Late Payment Charges:** This reflects tracking adjustments to the Company's update on sales revenues.

**Line 47 Gas - Revenue imputation - Cases 09-M-0114 and 09-M-0243:** This represents the revenues recorded by the Company to offset the revenue requirement effect of certain capital expenditures in order to limit recovery to the level approved by the Commission in its April 20, 2016 Order in Cases 09-M-0114 and 09-M-0243.This was inadvertently omitted in its January 2025 filing.

### 6. Operation and Maintenance Expense Adjustments and Updates (AP-E3/G3 Schedule 6)

Q. Please continue by explaining the adjustments and updates to O&M expenses on Schedule 6 of the updated AP-3 exhibits.

A. Please refer to Schedule 6 of the updated AP-3 exhibits for a reflection of the below changes and Schedule 16 of the updated AP-3 exhibits for a listing of the changes reflected by the Company.

**General Escalation Rate:** In this Update, which relied on actual data through February 28, 2025 and Blue Chip forecasts for 2025 through 2026, the general escalation rate from the historic test year to RY1 increased from 5.02% to 5.51%.

The rate remained stable at 2.20% for RY2 and RY3. Please refer to Schedule 14 of the updated AP-3 exhibits for the relevant calculations.

**Line 1 Electric / Gas Fuel and Purchased Power:** Fuel and purchased power forecasts were updated in conjunction with the Company's updated revenue and volume forecasts.

**Line 2 Electric /Gas A&G, Health Ins. Cap:** As identified in the Company's response to interrogatory DPS-19-510, in this Update, the historic test year expense is revised to escalate by the GDP factor to arrive at the Rate Year level.

**Line 9 Electric / Gas, Company Labor – Corporate and Shared Services:** This reflects a decrease in Company labor as discussed in the Shared Service Panel's Update Testimony.

**Line 10 Electric, Company Labor – Customer Energy Solutions:** This Update reflects a decrease in Company labor as discussed in the Customer Energy Solutions Panel's Update Testimony.

**Line 11 Electric / Gas, Company Labor – Customer Operations:** This reflects a decrease in projected Company labor as discussed in Customer Operations Panel's Update Testimony.

**Line 18 Electric / Gas, Corporate and Shared Services:** In this Update, the Company reflected savings related to Billing and Payment Processing and other updates which resulted in a reduction in the revenue requirement as described in the IT Panel's Update Testimony.

**Line 20 Electric, Customer Energy Solutions:** In this Update, the Company reflected removing the Company's funding request for Electric Vehicle Technology Studies as described in the CES Panel's Update Testimony. In addition, the Company reflected a reduction of the Rev - Grid Modernization (DSP) O&M request as described in the IT Panel's Update Testimony.

**Line 27 Electric / Gas, External Audit Fees:** This reflects an update for the latest common allocation split.

**Line 28 Electric / Gas, Facilities and Field Services:** This reflects corrections and updates detailed in the Shared Services Panel's Update testimony.

**Line 30 Electric / Gas, Information Technology:** This reflects corrections and updates detailed in the IT Panel's Update Testimony.

**Line 31 Electric / Gas, Informational Advertising:** This reflects a correction to reclassify certain costs from Informational Advertising to Ops – Customer Operations.

**Line 34 Electric / Gas, Insurance Premium –** The Company updated for the latest actual premiums through February 2025 and corrected the common allocation split.

**Line 40 Electric / Gas, Ops – Customer Operations:** This reflects a correction to reclassify certain costs from Informational Advertising to Ops – Customer Operations. Additionally, this reflects corrections and updates described in the Customer Operations Panel's Update Testimony.

**Line 42 Gas, Ops – Gas Operations:** The Company has normalized out one-time costs that were inadvertently included in the January 2025 filing.

**Line 43 Electric, Ops – Interference**: In this Update, the Company made a correction to normalize the interference reconciliation journal entry from the historic test year.

**Line 46 Electric, Ops – Substation Operations:** This reflects increases in janitorial service cost as described in the Update testimony of the Company's Shared Services Panel.

**Line 47 Electric, Ops – System and Transmission Operations:** This reflects increases in security guard costs as described in the Update testimony of the Company's Cyber and Physical Security Panel.

**Line 48 Gas, Other Compensation:** This corrected a formula error and now reflects the latest common allocation.

**Line 50 Electric / Gas, Pension/OPEB:** In this Update, employee pension/OPEB costs were decreased (*i.e.*, the credits increased) for electric and gas to reflect the impact of the Company's latest actuarial study, which reflected lower costs primarily due to higher projected discount rates than the actuarial report used for the January 2025 filing. The pension discount rate used for the January 2025 filing was 5.15%, whereas in this Update, the pension discount rate is 5.70%. Increases in the discount rate resulted in lower accounting costs or larger accounting credits.

**Line 55 Electric / Gas, Regulatory Commission Expense – General and R&D:** This reflects the latest Regulatory Commission expense, as set forth in the Commission Assessment letter, dated February 1, 2025.

**Line 56 Electric, Rents – ERRP**: This includes an adjustment to match forecasted expense with forecasted revenues in the three Rate Years.

**Line 64 Electric / Gas Uncollectibles Reserve – Sundry:** This reflects the three-year average of uncollectibles for the period March 2022 – February 2025.

**Line 67 Electric / Gas Company Labor – Fringe Benefit Adjustment:** This reflects tracking adjustments for the Company's update to Company Labor.

### 7. Taxes Other Than Income Taxes Adjustments and Updates (AP-E3/G3 Schedule 8)

Q. Please describe your adjustments to Taxes Other than Income Taxes.

A. Revenue taxes were adjusted for electric and gas based on the updates in sales revenues discussed above. Property taxes were adjusted for electric and gas to reflect the updated forecast, which is discussed in the Company's Property Tax Update Testimony. Payroll taxes were updated to accompany the aforementioned changes to labor-related O&M. Additionally, a Receipt Tax line has been added. The tax is imposed by New York City on gross receipts derived from electricity sold in certain parts of the Boroughs of Staten Island and Brooklyn, and Gas sold in certain parts of Manhattan. Payments of this tax to a municipality under the Company's franchise agreements are deductible from the Special Franchise

property tax, as provided in Section 626 of the Real Property Tax Law. As to the Rate Year, property taxes forecasted by the Company's Property Tax Panel reflect this deduction.

**8. Income Tax Adjustments and Updates (AP E3/G3 Schedules 9 and 10)**

Q. Please describe your adjustments to Income Taxes.

A. State and federal income tax calculations were adjusted to track the impact of updates to the Company's plant forecast.

**9. Capital Structure Adjustments and Updates (AP-5)**

Q. Were updates made to the cost of capital schedules used in determining the electric and gas revenue requirements in this Update?

A. Yes. The Panel updated Exhibit AP-5 to reflect the historic test year customer deposit balance using the latest period between February 2024 to February 2025. The Panel also decreased the return on equity to 10%. As a result, the rate of return for RY1, RY2 and RY3 has decreased from 7.32%, 7.38% and 7.44% in the January 2025 filing, to 7.27%, 7.33% and 7.39% in this Update, respectively.

**10. Reconciliations and Deferred Accounting**

Q. Is the Company proposing any changes to reconciliation or deferral mechanisms that were not addressed in this Panel's Direct Testimony?

A. Yes. As discussed by the Company's Income Tax Panel, the Company proposes a reconciliation related to the Corporate Alternative Minimum Tax ("CAMT"). Specifically, the Company proposes to reconcile any future CAMT liability and

the impacts on its CAMT credit carryforward deferred tax asset balances included in rate base. The Company will calculate the difference between the amount included in the revenue requirement and the actual amounts in the three-year period (2026-2028) and defer the impact of the increase/decrease to rate base, inclusive of a carrying charge, for disposition in the Company's next electric/gas base rate case.

## III. MULTI-YEAR RATE PLAN

Q. Does the Company have any updates to its forecasted financial information for RY2 and RY3?

A. Yes. As in the Company's January 2025 filing, the Company's Update includes, for illustrative purposes only, financial information for the Rate Year, as well as RY2 and RY3, to reflect developments in those periods as addressed by various Company witnesses in their Update Testimonies. Updated Exhibits AP-2 and AP-3 reflect the impact of those changes.

Q. Does this conclude your Update Testimony?

A. Yes, it does.